



Prices and Incomes Act 1967

1967 CHAPTER 53

An Act to make, in relation to prices and charges and in relation to terms and conditions of employment, further provision to supplement or amend the Prices and Incomes Act 1966. [14th July 1967]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

- 1.—(1) Where by virtue of a reference to the National Board for Prices and Incomes under section 2(1) or (3) of the Prices and Incomes Act 1966 either—
- (a) an increase of prices or charges is forbidden by section 7(3)(b) or section 8(2) of that Act; or
 - (b) the implementation of an award or settlement relating to terms or conditions of employment is forbidden by section 14(6)(b) or section 15(2) of that Act;

Power to extend periods of standstill under Part II of Prices and Incomes Act 1966.
1966 c. 33.

and, before it ceases to be so forbidden, a report of the Board on the reference is published with a recommendation adverse in any respect to the increase of the prices or charges or to the implementation of the award or settlement, then for the period and to the extent provided for by this section the standstill provision (that is to say, the relevant provision of the Prices and Incomes Act 1966 referred to in paragraph (a) or (b) above) shall continue to apply as it applied up to the date of publication of the report.

(2) The standstill provision shall continue to apply (subject as hereinafter provided)—

- (a) for a period ending ten days after the date of publication of the Board's report and, if within that period the Secretary of State gives notice of a proposal to make

an order under paragraph (b) below, then for a period ending thirty days after the date of publication of the report; and

- (b) if, after giving notice as aforesaid and before the end of those thirty days, the Secretary of State by order so directs, then for a further period extending until the expiration of the six months beginning with the date of publication of the reference to the Board or until such earlier time as may be specified in the order.

(3) The provisions of the Schedule to this Act shall have effect to regulate the extent to which the standstill provision is in any case to apply by virtue of this section, and other matters in connection with the operation of this section.

Imposition of standstill after increase of prices or implementation of award, but before publication of Board's report.

1966 c. 33.

2.—(1) Where section 8 of the Prices and Incomes Act 1966 is applied to any prices or charges, or section 15 of that Act is applied to an award or settlement, the direction applying the section may provide that it shall apply in relation to those prices or charges, or to that award or settlement, by reference to a specified date not more than three months before the date of publication of the direction; and, if the direction does so provide, then Part II of that Act together with section 1 of this Act shall, in relation to the direction and in relation to matters arising therefrom, have effect as if—

- (a) in the case of a direction applying section 8 to any prices or charges, increases in those prices or charges made in the interval between the specified date and the coming into force of the direction had not been made; and
- (b) in the case of a direction applying section 15 to an award or settlement, the award or settlement had not been implemented in that interval.

(2) Where a direction applying section 8 or section 15 of the Prices and Incomes Act 1966 makes provision in accordance with subsection (1) above,—

- (a) the notice giving the direction shall be published in the Gazette, but so much of section 8(1) or 15(1) as requires it to be published in the same issue as the text of the reference to the National Board for Prices and Incomes shall not apply (and accordingly a direction may be given in connection with a reference published before the coming into force of this section or the passing of this Act);
- (b) the direction may be given so as to come into force on a date after that on which the notice giving the direction is published;
- (c) section 1(2)(b) above shall have effect with the substitution of the six months beginning with the date when the

direction comes into force for the six months beginning with the date of publication of the reference.

3.—(1) Where—

- (a) on a reference to the National Board for Prices and Incomes under section 2(1) or (3) of the Prices and Incomes Act 1966 a report of the Board contains a recommendation adverse in any respect to an increase of prices or charges or to the implementation of an award or settlement (being a matter to which the reference related), but the standstill provisions referred to in section 1(1) above did not at any time apply to forbid the increase or implementation; and
- (b) it appears to the Secretary of State that (before or after publication of the report) there has been an increase of prices or charges, or implementation of the award or settlement, which does not accord with the recommendation of the Board;

Imposition of standstill after publication of Board's report.
1966 c. 33.

then, subject to the provisions of this section, the Secretary of State may by order provide, as respects any prices or charges or any award or settlement to which the reference related, for section 8(2) or 15(2) of that Act to apply for a period not exceeding three months (beginning with the date of the order or a later date) as it would have applied, up to the date of publication of the Board's report, by virtue of a direction duly given before that date.

(2) An order shall not be made under subsection (1) above in consequence of a report of the Board, if the report was not published by a date within three months from the publication of the reference to the Board under section 2(1) of the Prices and Incomes Act 1966 (whether or not varied under section 2(3)), nor shall an order be made as aforesaid more than six months after the date of publication of that reference; but this section shall apply notwithstanding that the Board's report was made, or the relevant increase of prices or charges or implementation of the award or settlement took place, before the coming into force of this section or the passing of this Act.

(3) Where an order is made under subsection (1) above, the relevant provisions of the Prices and Incomes Act 1966 shall, for purposes of the order and matters arising therefrom, have effect as if—

- (a) in the case of an order applying section 8(2) to any prices or charges, increases in those prices or charges made in the interval between the day preceding the publication of the reference to the Board and the time from which section 8(2) is applied had not been made; and

- (b) in the case of an order applying section 15(2) to an award or settlement, the award or settlement had not been implemented in that interval.

1966 c. 33.

(4) Before making an order under subsection (1) above the Secretary of State shall give notice of the proposal to make it; and the provisions of the Schedule to this Act shall have effect to regulate the extent to which section 8(2) or 15(2) of the Prices and Incomes Act 1966 is in any case to apply by virtue of this section, and other matters in connection with the operation of this section.

Modification
or
clarification
of certain
provisions of
Prices and
Incomes Act
1966.

4.—(1) Section 16 of the Prices and Incomes Act 1966 (which relates to the enforcement of Part II as regards terms and conditions of employment) shall have effect—

- (a) as if at the end of subsection (1) there were added the words “or (after the implementation is forbidden) to implement it in respect of employment at a time before the implementation is forbidden”; and
- (b) as if accordingly in subsection (4) for the words “to implement an award or settlement in respect of employment at a time when implementation of that award or settlement is forbidden under the foregoing provisions of this Part of this Act” there were substituted the words “to implement an award or settlement in contravention of subsection (1) above”;

and in subsection (6) of that section (under which prohibitions imposed by the section are to be treated as irrelevant for the purposes of civil proceedings in Scotland) for the words “by this section” there shall be substituted the words “by subsection (4) above”.

(2) The effect of Part II of the Prices and Incomes Act 1966 in forbidding the implementation of an award or settlement and thereby restricting the remuneration to be paid in respect of employment at any time shall not be to make wholly invalid contracts providing for remuneration in respect of that employment in excess of the remuneration permitted by the restriction, but shall be that, as regards payments due before the coming to an end of the restriction, any contract to pay such remuneration is invalidated so far as relates to the excess (and accordingly does not revive or become enforceable as regards the excess on the coming to an end of the restriction by the lapse of any provision of that Act or otherwise); and sections 28 and 29 of that Act are hereby declared to be of the like effect in restricting the remuneration to be paid for work for any period.

(3) Where section 15(2) or section 28 of the Prices and Incomes Act 1966 is or has been made (either expressly or impliedly) to apply in relation to persons employed by or under the Crown, then although the Crown is not thereby made subject to any

obligation, any claims to remuneration by persons so employed and the lawfulness of things done in relation thereto are subject by the operation of section 15(2) or 28, as the case may be, to the like restrictions as if those persons were employees of a private person.

(4) In the Prices and Incomes Act 1966 section 7(3)(a) shall 1966 c. 33. have effect as if after the word "prices" there were inserted the words "or charges".

5.—(1) Subject to the following subsections, where but for this Protection of provision an agreement entered into between an employer and employers who an employee before the 21st July 1966 would (if given effect have withheld according to its terms) have required the employer to pay to the pay increases before July employee for work for any period before July 1967 remuneration 1967. at a higher rate than the basis rate, the agreement shall have, and be deemed to have had, effect subject (as regards work for any such period) to a condition allowing the employer not to pay remuneration at that higher rate if he pays or has paid it at a rate not less than the basis rate nor less, where any enactment as to the minimum remuneration to be paid to any workers is applicable, than the rate necessary for compliance with that enactment.

For this purpose "the basis rate" means the rate which was last applied by the employer before the 21st July 1966 in making payments of remuneration to the employee for the same kind of work; and, in the case of remuneration agreed to be paid at a rate varying from time to time, the basis rate shall be the rate as it was for the time being effective when so applied, and "higher rate" shall be construed accordingly.

(2) Subject to subsection (5) below, the condition implied under subsection (1) above in any agreement shall be limited to remuneration for periods not exceeding in the aggregate six months; but—

- (a) the periods covered by the condition may be either continuous or not, and may include periods before the making of the agreement; and
- (b) the aggregate of six months shall be reckoned by including earlier periods to which the higher rate applied under the agreement in preference to later periods, but including only periods for which the employee has not received the remuneration provided for (apart from the condition) by the agreement.

(3) Where subsection (1) above applies to an agreement resulting (if given effect according to its terms) in two or more increases for different periods in the rate of the employee's remuneration, then the like condition shall be implied in relation to each of the successive rates of remuneration resulting therefrom which exceeds the basis rate (with subsection (2) above applying

separately to each condition so implied); but where any of the successive rates is under the agreement to apply for a fixed period only, and the condition is to be implied in relation to the immediately succeeding rate, then the agreement shall have, and be deemed to have had, effect as if it provided that the earlier rate should, subject (if it is not the basis rate) to the condition implied in relation to it, continue to apply until superseded by payment of the next succeeding rate.

(4) Subject to subsections (5) and (6) below, subsection (1) above (but not subsections (2) and (3)) shall have effect in relation to an agreement entered into on or after the 21st July 1966 and before the 5th June 1967 as it has effect in relation to an agreement entered into before the 21st July 1966, except that the basis rate shall be determined by reference to the rate last applied before the agreement instead of the rate last applied before the 21st July 1966.

(5) Where under an agreement entered into between an employer and an employee before the 21st July 1966 the remuneration to be paid to the employee was, without any further agreement being entered into between them, affected by any provision as to rates of remuneration made by an award or settlement on or after that date, then this section shall have effect in relation to that remuneration as if, so far as relates to any increase in it attributable to that provision, the said agreement were an agreement entered into between the employer and the employee on the date of the award or settlement; and similarly with an agreement entered into before the 5th June 1967 and an award or settlement made on or after that date.

(6) Where under an agreement entered into between an employer and an employee the terms and conditions of the employment were those applicable to other persons working, or who have worked, for the employer on the same kind of work (whether or not the agreement was so expressed), and either—

(a) subsection (1) above, without subsection (4), has or would have had effect to modify the terms and conditions in the case of those other persons but, apart from this provision, subsection (1) above—

(i) would do so in the case of that employee by virtue of subsection (4); or

(ii) would not in his case do so; or

(b) subsection (1) above, together with subsection (4), has or would have had effect to modify the terms and conditions in the case of those other persons but, apart from this provision, subsection (1) above would not in the case of that employee do so;

then subsections (1) to (3) above or, in a case within paragraph (b) above, subsections (1) and (4) shall have effect in relation to that

agreement as they have or would have had effect in relation to the agreements of those other persons, the basis rate being determined accordingly by reference to the remuneration of those persons (or the most nearly comparable of them) instead of the remuneration of that employee:

Provided that for purposes of subsection (2)(b) above as it applies by virtue of this subsection the employee shall be treated as having worked for the employer on the work in question, and having received for it remuneration at the basis rate, throughout the interval between the 20th July 1966 and the earliest date thereafter when he in fact so worked.

(7) Effect shall be given to the foregoing provisions of this section in legal proceedings begun before the passing of this Act as well as in those begun afterwards; and where in any such proceedings an order, judgment or decree has been made or given which is not in accordance with those provisions, the court by which it was made or given shall, on the application of the person liable thereunder, set it aside in whole or in part and make such further order, if any, as the case requires:

Provided that—

(a) proceedings to have an order, judgment or decree set aside under this subsection shall not be instituted after the end of one month beginning with the date this Act is passed; and

(b) where proceedings were begun before the 5th June 1967, or an order, judgment or decree made in any proceedings has been satisfied in whole or in part before the date this Act is passed, then this subsection shall not apply in relation to those proceedings or any further proceedings by way of appeal or otherwise.

(8) Where for any period an employee's right to remuneration was subject to a restriction under section 28, 29 or 30 of the Prices and Incomes Act 1966, then for purposes of subsection (2)(b) above the periods to which the higher rate applied under the agreement with his employer, and the amount of the remuneration provided for by the agreement, shall be determined without regard to the effect of that restriction; but this section shall not be taken to override any such restriction.

(9) This section shall not apply to remuneration for work other than work to be performed wholly or substantially within the United Kingdom or on British ships or aircraft; but where a person employed by or under the Crown has any enforceable claim to remuneration for that employment, this section shall apply as it applies in the case of an employee of a private person.

(10) In subsection (1) above "enactment" includes an enactment of the Parliament of Northern Ireland.

Supplemen-
tary.
1966 c. 33.

6.—(1) This Act may be cited as the Prices and Incomes Act 1967, and the Prices and Incomes Act 1966 and this Act may be cited together as the Prices and Incomes Acts 1966 and 1967.

(2) Sections 34 and 36 of the Prices and Incomes Act 1966 (which relate to the interpretation of that Act and to its operation as regards Northern Ireland) shall, so far as relevant, apply in relation to this Act as if references in those sections to that Act were references to this Act; and references in this Act to employment by or under the Crown shall be construed in accordance with section 18(3) and (4) of that Act.

(3) Sections 1 to 3 above shall not come into force until the 12th August 1967; and no order or direction for the application of any provision of the Prices and Incomes Act 1966 shall be made or given under sections 1 to 3 above, nor shall any such provision continue to apply by virtue of section 1(2)(a), after the 11th August 1968 or any earlier date on which Part II of that Act or the relevant provisions of it cease to be in force otherwise than for the purpose of orders previously made under this Act.

SCHEDULE

PROVISIONS RELATING TO THE OPERATION OF SECTIONS 1 AND 3

1. In this Schedule "the principal section" and "the standstill provision"—

- (a) for purposes of section 1 of this Act, mean respectively that section of this Act and the relevant provision of the Prices and Incomes Act 1966 referred to in subsection (1)(a) or (b) of that section; and
- (b) for purposes of section 3 of this Act, mean respectively that section of this Act and section 8(2) or 15(2), as the case may be, of the Prices and Incomes Act 1966.

2.—(1) The standstill provision, where it applies by virtue of the principal section, shall not preclude an increase of prices or charges or the implementation of an award or settlement in any respect in which the National Board for Prices and Incomes in the relevant report recommend that it should not be precluded (whether by allowing part of any proposed increase of prices or charges or of any proposed increase of remuneration or otherwise); and an order under the principal section—

- (a) may restrict in any manner the respects in which the standstill provision is to apply by virtue of the order; and
- (b) may at any time be revoked or varied by a further order of the Secretary of State so as to shorten the period for which, or to restrict or further restrict the respects in which, the standstill provision is to apply by virtue of the order.

(2) The standstill provision shall not by virtue of section 1 of this Act apply so as to preclude an increase of prices or charges or the implementation of an award or settlement in any respect in which the Secretary of State, by notice given during the continuance of the standstill provision under section 1(2)(a), states that it is not to be precluded; and an order under section 1 shall not provide for the standstill provision to apply so that an increase of prices or charges or the implementation of an award or settlement is in any respect precluded beyond any time beyond which the Board in their report recommend that it should not be precluded.

(3) Section 8(2) or 15(2) of the Prices and Incomes Act 1966, where it applies by virtue of the principal section, shall not preclude an increase of prices or charges or the implementation of an award or settlement with the written consent of the Minister or Ministers who referred the matter to the Board.

3.—(1) Any notice under the principal section of a proposal to make an order under that section shall invite representations about the proposal to be made to the Secretary of State in writing within a stated period (not being less than fourteen days) by or on behalf of those concerned, that is to say,—

- (a) in the case of a proposal relating to prices or charges, by or on behalf of any persons or undertakings selling goods or performing services for which the prices or charges are affected by the proposals; and

(b) in the case of a proposal relating to an award or settlement, by or on behalf of employers or employees affected by the award or settlement or by or on behalf of any employers' organisation, trade union or trade union organisation directly or indirectly representing employers or employees so affected; and before making the order the Secretary of State shall take into consideration any representations so made.

(2) An order under the principal section may give effect with such modifications as the Secretary of State thinks proper to the proposal of which notice has been given, other than modifications lengthening the period for which the standstill provision is to apply or enlarging the respects in which it is to apply.

4. Any power to make orders under the principal section or under paragraph 2(1) above shall be exercisable by statutory instrument, which in the case of orders under the principal section shall be subject to annulment in pursuance of a resolution of either House of Parliament.

5.—(1) Any written consent under paragraph 2(3) above shall be notified in the Gazette; and, subject to sub-paragraph (2) below, any notice of a proposal to make an order under the principal section, and any notice under paragraph 2(2) above, shall be given by publication in the Gazette.

(2) Where a notice of a proposal to make an order under the principal section or a notice under paragraph 2(2) above relates only to the prices or charges for transactions effected by one or more named persons, then instead of being published in the Gazette it may be given by written notice to him or them.

1966 c. 33.

6.—(1) Where an order is made under the principal section for the standstill provision to apply for any purpose, the lapse after the making of the order of any provisions of Part II of the Prices and Incomes Act 1966 on the expiration of a period specified in an Order in Council under section 6 of that Act, or on the revocation of such an Order in Council, shall not affect the operation of the order under the principal section or the operation of those provisions for purposes of that order and matters arising therefrom.

(2) The lapse of the standstill provision for any purpose on the expiration of the period for which it has been applied by an order under the principal section, or on the revocation or variation of such an order, shall not affect liability for any offence committed before the lapse.